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ANNEXURE-1

SCHEME OF AMALGAMATION

UNDER SECTIONS 230 TO 232 OF THE COMPANIES ACT, 2013

BETWEEN

BALAJI AMINES LIMITED

(TRANSFEREE COMPANY)

AND

BHAGYANAGAR CHEMICALS LIMITED

(FIRST TRANSFEROR COMPANY)

AND

BALAJI GREENTECH PRODUCTS LIMITED

(SECOND TRANSFEROR COMPANY)

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

(A) PREAMBLE OF THE SCHEME

This Scheme of Amalgamation is presented under Sections 230 to 232 of the Companies Act, 2013 and other applicable provisions of the Companies Act, 2013 and it provides for the Amalgamation (as defined hereinafter) of Bhagyanagar Chemicals Limited, **"First Transferor Company"** (as defined hereinafter) and BalajiGreentech Products Limited, **"Second Transferor Company"** (as defined hereinafter) into Balaji Amines Limited **"Transferee Company"** (as defined hereinafter).

The Scheme also provides for various other matters consequential to or otherwise integrally connected with the above in the manner provided for in the Scheme.

(B) DESCRIPTION OF THE COMPANIES

1. **M/s. "Balaji Amines Limited" (BAL)** a Company incorporated in the state of Maharashtra on 27.10.1988 (Twenty Seventh day of October, One Thousand Nine Hundred and Eighty Eight) under the provisions of Companies Act, 1956, vide Certificate of Incorporation Number 11-49387 of 1988, issued by the Registrar of Companies, Bombay, Maharashtra. The Company obtained Certificate of Commencement of Business from the Registrar of Companies, Bombay, Maharashtra, on 11.01.1989 (Eleventh day of January, One Thousand Nine Hundred and Eighty Nine). The present Corporate Identity Number (CIN) of the Company is L24132MH1988PLC049387. The PAN of the Company is AABCB1049E. (Hereinafter referred to as the **"Transferee Company"/ "BAL"**).

   The equity shares of Transferee Company are listed and traded on BSE Limited (BSE) bearing BSE Scrip Code 530999 and on National Stock Exchange of India Limited (NSE) bearing symbol "BALAMINES". The ISIN of the Transferee Company is INE050E01027.

   The registered office of the Transferee Company is situated at Balaji Towers, No. 9/1A/1, Hotgi Road, AasaraChowk, Solapur, Maharashtra - 413224, India.

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The Transferee Company is engaged in the business of manufacturing,tradingand export of speciality chemicals and hospitalityservices. The present main objects and other objects of the Transferee Company enable it:

a) To carry on the business as manufacturers, dealers, distributors, merchants, exporters, importers, stockists and agents of amines, amides, higher alcohols, halogenated products, oxo products, agrochemicals, pesticides and their intermediates, dye stuffs and their intermediates, drugs and intermediates and fine chemicals, design and fabrication of chemical plant equipments, catalysts and enzymes.

b) To carry on the business of setting up facilities for generation, accumulation, purchase, sale, distribution of all forms of energy, whether from conventional sources such as thermal, nuclear, hydel, oil, gas, diesel or baggasse, or from non-conventional sources such as tide, wind, windmill, solar, solar thermal, hybrid system, hygrogen fuel cells, nuclear energy, solid waste, spent wash and geo-thermal including operation / maintenance of facilities for generation, distributors, purchase, supply, all forms of energy and to manufacture and deal in all apparatus and things for or capable for being in connection with generation, distributors, supply accumulation and employment of energy and to carry on business operators, consultants and advisors in relation to the business aforementioned and to undertake power projects and to erect, commission, manage as agents, managers, turnkey or semi-turnkey contractors or on any other basis and provide any assistance in doing so and to use, process, sell and dispose of ash or any other material produced as a results of generation of energy and to prepare, manufacture, sell and deal in any products capable of being produced from such ash or such other material and for the aforesaid purposes to carry on the said business either singly or to enter into foreign or Indian technical and / or financial collaboration, joint venture or otherwise in any arrangements for sharing or dealing in profits, co-operation, joint venture or otherwise in any manner whatsoever with any person, firms, body, corporation, association or authority carrying on or engaged in or about to carry on or engaged in any of the aforesaid purposes.

c) To purchase, build, construct or otherwise acquire, establish, develop, equip furnish, maintain, give/take on lease and run hotels, lodging and boarding houses, banquet halls including all the conveniences,amenities and facilities adjunct thereto and to carry on the business of hotels, inns, motels, resorts invarious forms such as guest hoses, rest houses, holiday homes, holiday camps, farm houses, cottages,tents, take houses, boat houses, boat hoses, tree hoses, time sharing hotels, restaurants, cafes, taverns,beer-houses, refreshment rooms, bars, licensedvictuallers, wine, beer and spirit merchants, brewers, maltsters, distillers, importers and brokers of food, live and dead stock, and colonial and foreign produceof all description, hair dressers, perfumers and act as boarding and lodging house keepers and toestablish, own, manage, run clubs, baths, dressing rooms, laundires, reading, writing and newspaperrooms, libraries; swimming pools, water sports facilities, gymnasiums, grounds and places of

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amusements, recreatioin, sport, entertainment and other sports and any other business which can be convenientlycarried on in connection therewith, in India or any other part of the world.

The authorized, issued, subscribed and paid-up share capital of Transferee Companyas on 31stMarch, 2016, is as follows:

Share Capital	Amount in Rs.
Authorized Capital	
4,50,00,000 Equity Shares of Rs. 2/- each	9,00,00,000
Total	**9,00,00,000**
Issued, Subscribed and Paid-Up Capital	
3,24,01,000 fully paid up Equity Shares of Rs. 2/- each	6,48,02,000
Total	**6,48,02,000**

Subsequent to 31.03.2016 and till the date of resolution approving the Scheme of Amalgamation by the Board of Directors of the Transferee Company, there has been no change in the capital structure of the Transferee Company.

2. **M/s. "Bhagyanagar Chemicals Limited"** was originally incorporated as a Private Limited Company incorporated in the erstwhile state of Andhra Pradesh (Presently the state of Telangana) under the name and style "Bhagyanagar Chemicals Private Limited" on 08.09.1988 (Eighth day of September, One Thousand Nine Hundred and Eighty Eight),under the provisions of Companies Act, 1956, vide Certificate of Incorporation Number 01-09027 of 1988-1989, issued by the Registrar of Companies, Andhra Pradesh. Subsequently, the Company converted itself into a Public Limited Company by following the due procedure as laid down under the provisions of the Companies Act, 1956 and the word "Private" was deleted from the name of the Company and consequent upon conversion, the Company obtained a Fresh Certificate of Incorporation from the Registrar of Companies, Andhra Pradesh on 03.07.1989 (Third day of July, One Thousand Nine Hundred and Eighty Nine). The registered office of the Company was shifted from the State of Telanganato the State of Maharashtra by following the due procedure laid down under the applicable provisions of Companies Act, 2013, upon receiving the confirmation by the Hon'bleRegional Director (SER) vide his Order dated 09.01.2017 (Ninthday of January, Two Thousand and Seventeen) and consequent upon shifting of registered office from the State of Telangana to the State of Maharashtra, the Company obtained a Fresh Certificate of Incorporation from the Registrar of Companies, Pune, Maharashtra on 03.02.2017 (Third Day of February, Two Thousand and Seventeen).The Present Corporate Identification Number (CIN)is U24110PN1988PLC168219. The PAN of the Company is AAACB7882Q.(Hereinafter referred to as the **"First Transferor Company / BCL"**).

The Registered Office of the First Transferor Company is presently situated at Balaji Towers, No. 9/1A/1, Hotgi Road, AasaraChowk, Solapur, Maharashtra - 413224, India.

The main objects of the First Transferor Company are as follows:

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a) To manufacture, refine, purchase, sell, prepare, import, export all classes and kinds of drugs including paraceutamol, sulphamethozole, triethpriri, pharmaceutical preparations and formulations,fine chemicals, raw materials and intermediates for drugs and also chemicals.

b) To manufacture and or deal in all types of drugs, chemicals, pharmaceuticals and intermediates,on loan licence basis.

c) To undertake promote, encourage, initiate assist and engage in all kinds of research and development work and to set up laboratories and other facilities required for the same and torender such assistance monetary or otherwise as may be required for the purpose.

d) To render professional and technical consultancy and advice to any individual, firm, company, government or statutory undertaking or corporation or any other body carrying on any business whatsoever in the fields of design and engineering, research and development business industrial and general management relating to chemical and drug Industries and in any Industry where the company has acquired required expertise.

The authorized, issued, subscribed and paid-up share capital of First Transferor Company as on 31st March, 2016, is as follows:

Share Capital	Amount in Rs.
Authorized Capital	
15,00,000 Equity Shares of Rs. 10/- each	1,50,00,000
Total	**1,50,00,000**
Issued, Subscribed and Paid-Up Capital	
13,00,000 Equity Shares of Rs. 10/- each	1,30,00,000
Total	**1,30,00,000**

Subsequent to 31.03.2016 and till the date of resolution approving the Scheme of Amalgamation by the Board of Directors of the First Transferor Company, there has been no change in the capital structure of the First Transferor Company.

The Transferee Company is the Holding Company of the First Transferor Company, holding 100% of the total paid up share capital of the First Transferor Company.

The following is the extract of the register of equity shareholders of the First Transferor Company showing the latest list of the equity shareholders of the First Transferor Company:

Sl. No.	Name of the equity shareholder	No. of equity shares	Face value	Total equity capital	% of Holding
1.	M/ s.Balaji Amines Limited	12,99,300	10	1,29,93,000	99.93
2.	A. Prathap Reddy (Nominee of M/s. Balaji Amines Limited)	100	10	1,000	0.01
3.	A. Shakuntala Devi(Nominee of M/s. Balaji Amines Limited)	100	10	1,000	0.01
4.	N. RajeshwarReddy(Nominee of M/s. Balaji Amines Limited)	100	10	1,000	0.01
5.	N. Saritha(Nominee of M/s. Balaji	100	10	1,000	0.01

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	Amines Limited)				
6.	D. Ram Reddy (Nominee of M/s. Balaji Amines Limited)	100	10	1,000	0.01
7.	D. Vandana(Nominee of M/s. Balaji Amines Limited)	100	10	1,000	0.01
8.	G. Hemanth Reddy (Nominee of M/s. Balaji Amines Limited)	100	10	1,000	0.01
	Total	**13,00,000**	**10**	**1,30,00,000**	**100.00**

3. **M/s. "BalajiGreentech Products Limited"** was originally incorporated under the name and style "Balaji Bio chem Limited" on 15.04.2005 (Fifteenth day of April, Two Thousand and Five), under the provisions of Companies Act, 1956, vide Corporate Identity Number U24230AP2005PLC045891of 2005-2006, issued by the Registrar of Companies, Andhra Pradesh. The Company obtained Certificate of Commencement of Business from the Registrar of Companies, Andhra Pradesh on 26.04.2005 (Twenty Sixth day of April, Two Thousand and Five). Subsequently the name of the Company was changed from 'Balaji Bio chem Limited' to 'Balaji Greentech Products Limited' and consequent upon change of name, the Company obtained a Fresh Certificate of Incorporation from the Registrar of Companies, Andhra Pradesh on 12.03.2008 (Twelfth day of March, Two Thousand andEight) after complying with the relevant provisions under the Companies Act, 1956.The registered office of the Company was shifted from the State of Telangana to the State of Maharashtra by following the due procedure laid down under the applicable provisions of Companies Act, 2013, upon receiving the confirmation by the Hon'ble Regional Director (SER) vide his Order dated 09.01.2017 (Ninth day of January, Two Thousand and Seventeen) and consequent upon shifting of registered office from the State of Telangana to the State of Maharashtra, the Company obtained a Fresh Certificate of Incorporation from the Registrar of Companies, Pune, Maharashtra on 03.02.2017 (Third Day of February, Two Thousand and Seventeen). The Present Corporate Identification Number (CIN) is U24230PN2005PLC168220. The PAN of the Company is AACCB6293K.(Hereinafter referred to as the **"Second Transferor Company / BGPL"**).

The Registered Office of the Second Transferor Company is situated at Balaji Towers, No. 9/1A/1, Hotgi Road, AasaraChowk, Solapur, Maharashtra - 413224, India.

The main objects of the Second Transferor Company are as follows:

a) To carry on the business as manufacturers, producers, formulators, processors, sellers, buyers, traders, importers, exporters, agents, dealers, distributors of all kinds of biochemicals, chemicals including organic, inorganic, agricultural, petrochemical, cosmetic, pharmaceutical and allied substances thereof. Products of bio-chemicals, biotech, bulk drugs, pharmaceuticals, nutracueticals, enzymes, harmones, vaccines, plant and animal extracts, analytical agents, genetic engineering agents, intermediaties, diagnostics, pesticides growth factors and plant stimulants.

b) To manufacture, import, export, buy, sell and deal in all raw materials and othersubstances used in the manufacture or production for attaining the aforesaid objects.

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c) To manufacture, assemble, procure, trade, export and import all products withenvironment friendly technology, including but not limited to, electrical/electronic fitting,bulbs, lamps, compact fluorescent lamps, electronic ballasts, capsules, wire bulbs, corelamps, LED lamps, LED components, solar cells, solar wafers, solar modules, solarintegrated systems, devices, appliances, photosensitive semi -conductor devices,including photovoltaic cells whether or not assembled in modules or made up into panels, light emitting diodes, photo cells, solar cells whether or not assembled in modules orpanels, Head lamps, tail lamps, stop lamps, side lamps and blinkers other automobilelighting equipment, discharge lamps, and all other related items and also to carryresearch and development activities in the above.

The authorized, issued, subscribed and paid-up share capital of Second Transferor Company as on 31st March, 2016, is as follows:

Share Capital	Amount in Rs.
Authorized Capital	
1,00,00,000 Equity Shares of Rs. 10/- each	10,00,00,000
2,50,00,000 10% Cumulative Redeemable Preference Shares of Rs. 10/- each	25,00,00,000
Total	**35,00,00,000**
Issued, Subscribed and Paid-up Capital	
90,00,000 Equity Shares of Rs. 10/- each	9,00,00,000
2,35,00,000 10% Cumulative Redeemable Preference Shares of Rs. 10/- each	23,50,00,000
Total	**32,50,00,000**

Subsequent to 31.03.2016 and till the date of resolution approving the Scheme of Amalgamation by the Board of Directors of the Second Transferor Company, there has been no change in the capital structure of the Second Transferor Company.

The Transferee Company is the Holding Company of the Second Transferor Company holding 66% of the total paid up equity share capital and 100% of the total paiduppreference share capitalof the Second Transferor Company.

The following is the extract of the register of equity shareholders of the Second Transferor Company showing the latest list of the equity shareholders of the Second Transferor Company:

Sl. No.	Name of the equity shareholder	No. of equity shares	Face value	Total equity capital	% of Holding
1.	M/ s. Balaji Amines Limited	59,40,000	10	5,94,00,000	66.00
2.	A. Prathap Reddy	7,50,000	10	75,00,000	8.33
3.	M/s. APR Holdings & Investments Private Limited	7,00,000	10	70,00,000	7.78
4.	D. Ram Reddy	3,09,000	10	30,90,000	3.43
5.	N. RajeshwarReddy	2,75,000	10	27,50,000	3.06
6.	G. Hemanth Reddy	2,50,000	10	25,00,000	2.78
7.	G. Madhumathi	2,50,000	10	25,00,000	2.78
8.	A. Shakuntala Devi	2,10,000	10	21,00,000	2.33
9.	K. Vijaya	1,00,000	10	10,00,000	1.11
10	N. Eeshan Reddy	70,000	10	7,00,000	0.78
11.	N. Deepthi	50,000	10	5,00,000	0.56
12.	D. Tanmai	50,000	10	5,00,000	0.56

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13.	D. Vandhana	41,000	10	4,10,000	0.46
14.	N. Saritha	5,000	10	50,000	0.06
	Total:	**90,00,000**	**10**	**9,00,00,000**	**100.00**

The following is the extract of the register of members of 10% Cumulative Redeemable Preference Shareholders showing the latest list of 10% Cumulative Redeemable Preference Shareholders of the Second Transferor Company:

Sl. No.	Name of the shareholder	No. of 10% Cumulative Redeemable Preference Shares	Face value	Total 10% Cumulative Redeemable Preference Capital	% of Holding
1.	M/ s. Balaji Amines Limited	2,35,00,000	10	23,50,00,000	100.00
	Total	**2,35,00,000**	**10**	**23,50,00,000**	**100.00**

(C) RATIONALE, OBJECTIVE & PURPOSE OF THE SCHEME

a) The Scheme is presented under section 230 to 232 of the Companies Act, 2013 and it provides for amalgamation of the First Transferor Company and the Second Transferor Company into the Transferee Company, resulting in consolidation of business of three Companies in one entity and thereby strengthening the position of the amalgamated entity by enabling it to harness and optimize the synergies of equipments and human resources, which is in the best interest of all the Companies and their respective shareholders.

b) The Transferee Company is the holding Company of the Fist Transferor Company holding 100% of the total paid up equity share capital of the Fist Transferor Company. The Transferee Company is also the holding Company of the Second Transferor Company holding 66% of the total paid up equity share capital and 100% of the total paid up preference share capital of the Second Transferor Company. In view of the fact that the First Transferor Company and the Transferee Company are engaged in the business akin to that of the Transferee Company as also that the business of the Second Transferor Company can be combined keeping in view the synergic advantages resulting out of the amalgamation of the Second Transferor Company, it is proposed to amalgamate both the Transferor Companies and Transferee Company into a single company which will lead the amalgamated Company to greater and optimal use of resources. A consolidation of the Transferor Companies and the Transferee Company by way of amalgamation would therefore lead to a more efficient utilization of capital, talent pooling and will result in creation of a single larger unified entity in place of various entities under the same management and control, thus resulting in efficient synergies of operations and streamlined business transactions.

c) The proposed Amalgamation will lead to the benefits such as economies of scale, besides other synergetic advantages particularly in view of the fact that the entire gamut of operations of the combined entity will have greater management focus and increased supervisory control.

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d) The proposed amalgamation will reduce administrative costs and also result in reduction of overheads and other expenses, economies of scale, reduction in administrative and procedural work, enable the amalgamated company to effect internal economies and optimize profitability as also to reduce administrative inefficiencies by reducing duplication of functions.

e) In order to achieve the objectives as mentioned in clause (a) to (d) above, the Boards of Directors of the Transferor Companies and the Transferee Company have proposed to consolidate the Transferor Companies and the Transferee Company into a Single Company by assimilating the businesses carried on by the Transferor Companies and the Transferee Company.

f) The Scheme shall be beneficial and in the best interests of the shareholders, creditors and employees of the Transferor Companies, the Transferee Company and to the interest of public at large and all concerned.

(D) SCOPE OF THE SCHEME

The Scheme of Amalgamation provides for:

1. Amalgamation of First Transferor Company and Second Transferor Company intoTransferee Company.

2. Various other matters consequential to or otherwise integrally connected with the above in the manner provided for in the Scheme.

3. This Scheme of Amalgamation has been drawn up to comply with the conditions as specified under section 2(1B) of Income Tax Act, 1961, such that:

   (a) All the properties of Transferor Companies, immediately before the amalgamation, become the properties of Transferee Company by virtue of amalgamation.

   (b) All the liabilities of Transferor Companies, immediately before the amalgamation, become the liabilities of Transferee Company by virtue of amalgamation.

(E) PARTS OF THE SCHEME:

This Scheme of Amalgamation is explained by dividing it into the following parts:

PART A: Deals with Definitions.

PART B: Deals with Amalgamation of "BCL" (First Transferor Company) and "BGPL" (Second Transferor Company) into "BAL" (Transferee Company).

PART C: Deals with General Terms and Conditions.

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PART-A

DEFINITIONS

1. DEFINITIONS

1.1 **"Act" or "the Act"** means the Companies Act, 2013, read with the rules made thereunder and every modification or re-enactment thereof and references to sections of the Act shall be deemed to mean and include reference to sections enacted in modification or replacement thereof.

1.2 **"Applicable Law(s)"** means any statute, notification, bye-laws, rules, regulations, guidelines, or common law, policy, code, directives, ordinance, schemes, notices, orders or instructions enacted or issued or sanctioned by any appropriate authority including any modification or re-enactment thereof for the time being in force.

1.3 **"Amalgamation"** means the blending of the Transferor Companies with the Transferee Company.

1.4 **"Amalgamating Undertaking"** shall mean:

a) All the assets and properties of the Transferor Companies as on the Appointed Date.

b) All the secured and unsecured debts, liabilities, whether short term or long term contingent liabilities or duties and obligations of the Transferor Companies as on the Appointed Date.

c) Without prejudice to the generality of sub clause (a) above, the Undertaking of the Transferor Companies shall include all the assets and properties, whether movable or immovable, real or personal, in possession or reversion, corporeal or incorporeal, tangible or intangible, present or contingent and including but not limited to land and building, all fixed and movable plant and machinery, vehicles, fixed assets, plant and machinery, capital work in progress, current assets, investments, reserves, provisions, funds, licenses, franchises, registrations, certificates, permissions, consents, approvals, concessions (including but not limited to sales tax concessions, excise duty, services tax or customs, value added tax and other incentives of any nature whatsoever), remissions, remedies, subsidies, guarantees, bonds, copyrights, patents, trade names, trademarks, track record, good-will and other rights and licenses in respect thereof, applications for copyrights, patents, trade names, trademarks, leases, leave and license agreements, tenancy rights, premises, ownership flats, hire purchase, lending arrangements, benefits of security arrangements, computers, insurance policies, office equipment, telephones, telexes, facsimile connections, communication facilities, utilities, electricity, water and other service connections, contracts and arrangements, powers, authorities, permits, allotments, privileges, liberties, advantages, easements and all the right, title, interest, goodwill, deposits, reserves, preliminary expenses, benefit of deferred revenue expenditure, provisions, advances, receivables, deposits, cash, bank balances, accounts and all other rights, benefits of all agreements, subsidies, grants, incentives, tax credits, whether granted by state government or central government or any such other authority, (including but not limited to credits in respect of income-tax, tax on book profits, value added tax, sales

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tax, service tax, etc.), and other claims and powers, all books of accounts, documents and records of whatsoever nature and where so ever situated belonging to or in the possession of or granted in favour of or enjoyed by the Transferor Companies, as on the Appointed Date.

d) All statutory licenses, franchises, approvals, permissions, no-objection certificates, permits, consents, patents, trademarks, tenancies, offices, depots, quotas, rights, entitlements, privileges, benefits of all contracts / agreements / leases (including, but not limited to, contracts / agreements with vendors, customers, government etc.), all other rights (including, but not limited to, right to use and avail electricity connections, water connections, environmental clearances, telephone connections, facsimile connections, telexes, e-mail, internet, leased line connections and installations, lease rights, easements, powers and facilities), of the Transferor Companies as on the Appointed Date.

e) All staff, workmen and employees engaged in the Transferor Companies.

f) All records, files, papers, information, computer programs, software applications, manuals, data, catalogues, quotations, advertising materials, lists of present and former customers, pricing information and other records, whether in physical form or electronic form of the Transferor Companies.

1.5 **"Appointed date"** means **01.04.2016 (First day of April, Two Thousand and Sixteen)** or such other date as may be approved by the Hon'bleNational Company Law Tribunal at Mumbai or such other competent authority having jurisdiction to sanction the Scheme. The Appointed Date shall be the effective date and the Scheme shall be deemed to be effective from the Appointed Date.

1.6 **"Appropriate Authority"** means any applicable central, state or local government, legislative body, regulatory, administrative or statutory authority, agency or commission or department of public or judicial body or authority, including but not limited to Registrar of Companies, Regional Director, Official Liquidator, Securities and Exchange Board of India, Stock Exchanges, National Company Law Tribunal etc.,.

1.7 **"Board of Directors"** or **"Board"** in relation to Transferor Companies and Transferee Company, as the case may be, shall, unless it be repugnant to the context or otherwise, include any Committee of Directors or any person authorized by the Board of Directors or such Committee of Directors.

1.8 **"BSE Limited / BSE"**means aCompany incorporated under the provisions of the Companies Act, 1956, on 08.08.2005, bearing CIN: U67120MH2005PLC155188 and having its registered office situated at 25thFloor,P J Towers, Dalal Street, Mumbai,MH 400001. BSE is a recognised stock exchange having nationwide trading terminal.

1.9 **"CRPS"** means the 10% Cumulative Redeemable Preference Shares of face value of Rs. 10/- (Rupees Ten only) each of the Second Transferor Company.

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1.10 "Equity Shares" meanstheequity shares of face value of Rs. 2/- (Rupees Two only) each of the Transferee Company, or as the case may be, the equity shares of face value of Rs. 10/- (Rupees Ten only) each of any of the Transferor Company as the context may require.

1.11 "First Transferor Company" means Bhagyanagar Chemicals Limited (BCL), a Company incorporated under the provisions of the Companies Act, 1956, bearing CIN: U24110PN1988PLC168219 and having its registered office situated at Balaji Towers', No. 9/1A/1, Hotgi Road, AasaraChowk, Solapur - 413224, Maharashtra.

1.12 "National Stock Exchange of India Limited / NSE" means aCompany incorporated under the provisions of the Companies Act, 1956, on 27.11.1992, bearing CIN: U67120MH1992PLC069769 and having its registered office situated at Exchange Plaza, C-1, Block G, BandraKurla Complex,Bandra, East Mumbai, MH 400051. NSE is a recognised stock exchange having nationwide trading terminal.

1.13 "Record Date", for the purpose of determining the shareholders of the Second Transferor Company, means the date on which the Scheme is approved by the Tribunal.

1.14 "Registrar of Companies" for the purposes of this Scheme,means the Registrar of Companies at Pune, for the State of Maharashtra.

1.15 "Scheme of Amalgamation" or **"Scheme"** or **"the Scheme"** or **"this Scheme"** means this Scheme of Amalgamation in its present form or with any modifications, imposed or approved or directed by the Board of Directors of Transferee Company and/ or Transferor Companies, or by the members or creditors of the Companies involved and /or DSE/SEBI/NCLT or any other appropriate authority.

1.16 "SEBI"means the Securities and Exchange Board of India, established on 12.04.1992 (Twelfth day of April One Thousand Nine Hundred and Ninety Two), in accordance with the provisions of the Securities and Exchange Board of India Act, 1992.

1.17 "Shareholders" means the persons registered (whether registered owner of the shares or beneficial owner of the shares) as holders of equity shares of Company concerned as the context may require. The word **"Shareholder"** and **"member"** are used to denote the same meaning and are used interchangeably.

1.18 "Stock Exchanges" means the BSE andthe NSE where the equity shares of Transferee Company are listed and traded. The Designated Stock Exchange (DSE), for the purpose of coordinating with SEBI in relation to obtaining the in-principle approval to the Scheme, shall be NSE.

1.19 "Second Transferor Company" means BalajiGreentech Products Limited (BGPL), a Company incorporated under the provisions of the Companies Act, 1956, bearing CIN:

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U24230PN2005PLC168220 and having its registered office situated at Balaji Towers', No. 9/1A/1, Hotgi Road, AasaraChowk, Solapur - 413224, Maharashtra.

1.20 **"SCHEDULES"** means the Schedule I and Schedule II attached to this Scheme.

1.21 **"Transferee Company"** means "Balaji Amines Limited" (BAL)a Companyincorporated under the provisions of the Companies Act, 1956, bearing CIN: L24132MH1988PLC049387and having its Registered Office situated at Balaji Towers', No. 9/1A/1, Hotgi Road, AasaraChowk, Solapur-413224, Maharashtra.

1.22 **"Tribunal / NCLT"** means the Hon'ble National Company Law Tribunal at Mumbai or any other appropriate authority having jurisdictions to sanction the Scheme.

1.23 **"Transferor Companies"** means both the Transferor Companies (i.e. the First Transferor Company and the Second Transferor Company)and the term **"Transferor Company"** means any of the Transferor Company as the contextmay require.

All terms and words not defined in this Scheme shall, unless repugnant or contrary to the context or meaning thereof, have the same meaning ascribed to them under the Act, the Income-tax Act, 1961 or any other applicable laws, rules, regulations, bye laws, as the case may be, including any statutory modification or re-enactment thereof from time to time.

PART-B

AMALGAMATION OF BCL (FIRST TRANSFEROR COMPANY) AND BGPL (SECOND TRANSFEROR COMPANY) INTO BAL (TRANSFEREE COMPANY)

SECTION 1: TRANSFER & VESTING OF AMALGAMATING UNDERTAKING

2. Transfer of assets, properties, estates, claims, refunds, debts, duties, liabilities, obligations etc.,

2.1 Subject to the provisions of this Scheme as specified herein and with effect from the Appointed Date, the entire Amalgamating Undertaking of the Transferor Companies shall be transferred to and vested in or be deemed to be transferred to and vested in the Transferee Company in the following manner:

a) The Amalgamating Undertaking of the Transferor Companies comprising of business, all assets and liabilities of whatsoever nature and where-so-ever situated, shall, under the provisions of Sections 230 to 232 of the Companies Act, 2013 and all other applicable provisions, if any, of the Act, without any further act or deed (save as provided in sub clauses (b) (c) and (d) below) be transferred to and vested in and/or be deemed to be transferred to and vested in the Transferee Company as a going concern so as to become the Undertaking of the Transferee Company and to vest in the Transferee Company all the rights, title, interest or obligations of the Transferor Companies therein.

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b) All the Immovable properties (more specifically described in the Schedules) of the Transferor Companies shall under the provisions of Sections 230 to 232 of the Companies Act, 2013, without any further act or deed, be transferred to or be deemed to be transferred to the Transferee Company so as to become as from the Appointed Date the Properties of the Transferee Company.

c) All the movable assets including but not limited to machineries and equipments, office equipments, computers, software's, IPRs, products, websites, portals,inventories, cash in hand of the Transferor Companies capable of passing by manual delivery or by endorsement and delivery, shall be so delivered or endorsed and delivered, as the case may be, to the Transferee Company.

d) In respect of movables other than those specified in sub clause (c) above, including, outstanding loans and advances, Investments (whether current or non-current), trade receivables, recoverable in cash or in kind or for value to be received, bank balances and deposits, if any, with government, semi-government, local and other authorities and bodies, customers and other persons, the same shall, without any further act, instrument or deed, be transferred to and stand vested in and /or be deemed to be transferred to and stand vested in the Transferee Company under the provisions of Sections 230 to 232 of the Companies Act, 2013.

e) In relation to all licenses, franchises, permissions, approvals, consents, entitlements, sanctions, permits, rights, privileges and licenses including rights arising from contracts, deeds, license instruments and agreements, if any, belonging to the Transferor Companies, which require separate documents of transfer including documents for attornment or endorsement, as the case may be, the Transferee Company will execute the necessary documents of transfer including documents for attornment or endorsement, as the case maybe, as and when required.

f) All the secured and/or unsecured debts, if any, all liabilities, duties and obligations of every kind, nature, description, whether or not provided for in the books of account and whether disclosed or undisclosed in the balance sheets of the Transferor Companies shall also, under the provisions of Sections 230 to 232 of the Companies Act, 2013, without any further act or deed, be transferred to or be deemed to be transferred to the Transferee Company so as to become as from the Appointed Date the debts, liabilities, duties and obligations of the Transferee Company and it shall not be necessary to obtain the consent of any third party or other person who is a party to any contract or restructuring by virtue of which such secured and/or unsecured debts, liabilities, duties and obligations have arisen, in order to give effect to the provisions of this sub clause.

It is clarified that unless otherwise determined by the Board of Directors of the Transferee Company, in so far as the borrowings/debts and assets comprising the Transferor Companies are concerned:

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(a) the security or charge, if any existing or created in future before the appointed date, for the loans or borrowings of the Transferor Company concerned shall, without any further act or deed, continue to relate to the said assets after the appointed date; and

(b) the assets of the Transferee Company shall not relate to or be available as security in relation to the said borrowings of the Transferor Companies;

g) In so far as the various incentives, subsidies, special status and other benefits or privileges enjoyed (including credit on account of tax on book profits, sales tax, excise duty, custom duty, service tax, value added tax and other incentives), granted by any government body, local authority or by any other person and availed by the Transferor Companies, the same shall vest with and be available to the Transferee Company on the same terms and conditions.

2.2 The Transferee Company shall under the provisions of this Scheme be deemed to be authorized to execute any such writings on behalf of the Transferor Companies, to implement and carry out all formalities and compliances, if required, referred to above.

2.3 All the properties or assets of the Transferor Companieswhether movable or immovable, being transferred pursuant to this Scheme, which are registered and standing in the name of Transferor Companiesshall, upon the scheme being sanctioned by the Tribunal and becoming effective, be registered in the name of the Transferee Company and the name of the Transferor Company concernedshall be substituted with the name of the Transferee Company in all such certificates of registration, endorsements, records and in revenue/mutation records in case of immovable propertiesby such appropriate authorities.

2.4 Any tax liabilities under the Income-tax Act, 1961, service tax laws, customs law or other applicable laws/ regulations dealing with taxes/ duties / levies of the Transferor Companies to the extent not provided for or covered by tax provision in the accounts made as on the date immediately preceding the Appointed Date, if any, shall be transferred to Transferee Company.

2.5 Any refund under the Income-tax Act, 1961, service tax laws or other applicable laws / regulations dealing with taxes/ duties / levies tax due to Transferor Companies consequent to the assessment made on Transferor Company and for which no credit is taken in the accounts as on the date immediately preceding the Appointed Date shall also belong to and be received by the Transferee Company.

2.6 Upon the Scheme being sanctioned by the Tribunal, with effect from the Appointed Date, all rights, entitlements and powers to revise returns and filings of the Transferor Companies under the Income-tax Act, 1961, service tax laws and other laws, and to claim refunds and / or credits for taxes paid, etc. and for matters incidental thereto, shall be available to, and vest with the Transferee Company.

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2.7 All tax assessment proceedings / appeals of whatsoever nature by or against the Transferor Companies pending and/or arising at the Appointed Date and relating to the Transferor Companies shall be continued and / or enforced against the Transferor Companies until the date of sanction of the Scheme by the Tribunal and from the sanction of the Scheme by the Tribunal, the same shall be continued and enforced by or against the Transferee Companyin the same manner and to the same extent as would or might have been continued and enforced by or against the Transferor Company concerned.

Further, the aforementioned proceedings shall not abate or be discontinued nor be in any way prejudicially affected by reason of the amalgamation of the Transferor Companies into the Transferee Company or anything contained in the Scheme.

2.8 All the tax payments (including, without limitation payments under the Income-Tax Act, 1961 Service Tax law, and other laws) whether by way of deduction at source, advance tax or otherwise howsoever, by the Transferor Companies in respect of the profits or activities or operation of the business after the Appointed Date, the same shall be deemed to be the corresponding item paid by the Transferee Company and shall, in all proceedings, be dealt with accordingly. Further, any tax deducted at source by the Transferor Companies on transactions with the Transferee Company, if any, (from Appointed Date till date of sanction of the Scheme by the Tribunal) shall be deemed to be advance taxes paid by the Transferee Company and shall, in all proceedings be dealt with accordingly.

2.9 Obligation for deduction of tax at source on any payment made by or to be made by the Transferor Companiesunder the Income-tax Act, 1961, service tax laws, or other applicable laws / regulations dealing with taxes/ duties / levies shall be made or deemed to have been made and duly complied with by the Transferee Company.

2.10 This Scheme has been drawn up to comply with the conditions relating to "Amalgamation" as specified under Section 2(1B) of the Income-tax Act, 1961. If any terms or provisions of the Scheme are found or interpreted to be inconsistent with the provisions of the said Section at a later date including resulting from a retrospective amendment of law or for any other reason whatsoever, till the time the Scheme is sanctioned by the Tribunal, the provisions of the said section of the Income-Tax Act, 1961, shall prevail and the Scheme shall stand modified to the extent determined necessary to comply with Section 2(1B) of the Income-tax Act, 1961.

3. Validity of existing resolutions, etc. in respect of the prior acts

Upon sanction of this Scheme by the Tribunal, the resolutions of the Transferor Companies, as are considered necessary by the Board of Directors of the Transferee Company and which are valid and subsisting on the Appointed Date, shall continue to be valid and subsisting in respect of the relative acts performed / steps taken prior to the Appointed Date by respective Transferor Company and be considered as resolutions of the Transferee Company and if any such resolutions have any monetary

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limits approved under the provisions of the Act, or any other applicable statutory provisions, then said limits as are considered necessary by the Board of Directors of the Transferee Company shall be added to the limits, if any, under like resolutions passed by the Transferee Company and shall constitute the aggregate of the said limits in the Transferee Company.

4. Legal Proceedings

4.1 Upon the Scheme becoming effective, all legal and other proceedings, including before any statutory or quasi-judicial authority or tribunal of whatsoever nature, if any, by or against any of the Transferor Companiespending and/or arising at the Appointed Date, shall be continued and enforced by or against the Transferee Company only, to the exclusion of the Transferor Companiesin the manner and to the same extent as it would have been continued and enforced by or against the Transferor Company concerned. On and from the date of sanction of the Scheme by the Tribunal, the Transferee Company shall and may, if required, initiate any legal proceedings in relation to the Transferor Company concerned in the same manner and to the same extent as it would or might have been initiated by the Transferor Company concerned.

4.2 After the Appointed Date, if any proceedings are taken against any of the Transferor Companies,the same shall be defended by and at the cost of the Transferee Company.

5. Contracts, deeds and other instruments

Subject to the other provisions of this Scheme, all contracts, deeds, bonds, agreements, leave and license agreements, licenses, engagements, certificates, benefits, privileges, entitlements, grants, sanctions, permissions, consents, approvals, concessions, any schemes under which the Transferor Companiesare registered with the government or any other authorities and incentives (including but not limited to benefits under the Income-Tax Act, 1961, service tax, and other laws), remissions, remedies, subsidies, guarantees, licences and other instruments, if any, of whatsoever nature to which the Transferor Companiesare a party and which have not lapsed and are subsisting or having effect on date of sanctioning of the Scheme by the Tribunal, shall be in full force, be effective against or in favour(as the case may be) of the Transferee Company, and may be enforced by or against the Transferee Company as fully and effectually as if, instead of the Transferor Company concerned, the Transferee Company had been a party thereto. The Transferee Company may enter into and/or issue and/or execute deeds, writings or confirmations or enter into any tripartite restructurings, confirmations or novations, to which the Transferor Companieswill, if necessary, also be a party in order to give formal effect to the provisions of this Scheme, if so required or if so considered necessary. The Transferee Company shall be deemed to be authorized to execute any such deeds, writings or confirmations on behalf of the Transferor Companiesand to implement or carry out all formalities required on the part of the Transferor Companiesto give effect to the provisions of this Scheme.

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6. **Saving of concluded transactions**

The transfer of Amalgamating Undertaking under clause 2 above and the continuation of proceedings by or against the Transferee Company under clause 4 above and the effectiveness of the contracts and deeds under clause 5 shall not affect any transactions and proceedings or contracts or deeds already concluded by the Transferor Companieson or before the Appointed Date and after the Appointed Date till the date of sanction of the Scheme by the Tribunal, to the end and intent that the Transferee Company accepts and adopts all acts, deeds and things done and executed by the Transferor Companiesin respect thereto as done and executed on behalf of itself.

7. **Staff, workmen and employees**

7.1 On the Scheme coming into effect, all staff, workmen and employees of the Transferor Companiesin service on the Appointed Date shall be deemed to have become staff, workmen and employees of the Transferee Company with effect from the Appointed Date without any break in their service and the terms and conditions of their employment with the Transferee Company shall not be less favourable than those applicable to them with reference to the Transferor Companieson the Appointed Date.

7.2 It is expressly provided that, in so far as the Gratuity Fund, Provident Fund, Super Annuation Fund, if applicable, Employee's State Insurance Corporation Contribution, Labour Welfare Fund or any other Fund created or existing for the benefit of the staff, workmen and employees of the Transferor Companiesare concerned, upon the Scheme being sanctioned by the Tribunal, the Transferee Company shall stand substituted for the Transferor Companyconcerned for all the purposes whatsoever in relation to the administration or operation of such Fund or Funds or in relation to the obligation to make contributions to the said Fund or Funds in accordance with the provisions thereof as per the terms provided in the respective Trust Deeds, if any, to the end and intent that all rights, duties, powers and obligations of the Transferor Companiesin relation to such fund or funds shall become those of the Transferee Company and all the rights, duties and benefits of the employees of the Transferor Companiesunder such Funds and Trusts shall be protected, subject to the provisions of law for the time being in force. It is clarified that the services of the staff, workmen and employees of theTransferor Companieswill be treated as having been continuous for the purpose of the said Fund or Funds.

7.3 In so far as the Provident Fund, Gratuity Fund, Superannuation Fund, if applicable, or other Special Scheme(s) / Fund(s) created or existing for the benefit of the employees of the Transferor Companiesare concerned upon the sanction of this Scheme by the Tribunal, balances lying in the accounts of respective employees of the Transferor Company concerned in the said funds as on the date of sanction of this Scheme by the Tribunal,shall stand transferred from the respective trusts / funds of the Transferor Companiesto the corresponding trusts / funds set up by the Transferee Company.

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8. **Cancellation of all the outstanding CRPS of the Second Transferor Company held by the Transferee Company.**

As an integral part of the Scheme, all outstanding CRPS of the Second Transferor Company held by the Transferee Company will be cancelled.

9. **Reorganization of authorised share capital of the First Transferor Company and the SecondTransferor Company, and Clubbing of authorized share capital of Transferor Companies with the authorized share capital of Transferee Company**

9.1 As an integral part of the Scheme, the face value of 1 (One) equity share of the First Transferor Company amounting to Rs.10/- (Rupees Ten only) shall be sub-divided into face value of Rs.2/- (Rupees Two only) comprising 5 (Five) equity shares of First Transferor Company and following such sub-division, the authorised share capital of the First Transferor Company shall be reflected as follows:

> ***"The authorised share capital of the Company is Rs.1,50,00,000/- (Rupees One Croreand Fifty Lakh only) divided into 75,00,000 (Seventy Five Lakh) equity shares of Rs.2/- (Rupees Two only) each".***

9.2 The members of the First Transferor Company, on approval of the Scheme, shall be deemed to have given their approval u/s 61 of the Companies Act, 2013 and all other applicable provisions of the Actfor sub-division of the authorised share capital of the FirstTransferor Company and no separate resolutions will be required to be passed for sub-division of the authorised share capital of the FirstTransferor Company under section 61 of the Companies Act, 2013 and other applicable provisions of the Act and no separate notice will be required to be given to the Registrar of Companies, for intimation of alterationof the authorised share capital of the FirstTransferor Company under section 64 of the Companies Act, 2013 and all other applicable provisions of the Act.

9.3 As an integral part of the Scheme, the face value of 1 (One) equity share of the Second Transferor Company amounting to Rs.10/- (Rupees Ten only) shall be sub-divided into face value of Rs.2/- (Rupees Two only) comprising 5 (Five) equity shares of the Second Transferor Company and each CRPS of the Second Transferor Company of face value of Rs.10/- (Rupees Ten only) shall be reclassified as 5 (Five) equity shares of face value of Rs.2/- (Rupees Two only) each of the Second Transferor Company and following such sub-division and reclassification, the authorised share capital of the Second Transferor Company shall be reflected as follows:

> ***"The authorised share capital of the Company is Rs.35,00,00,000/- (Rupees Thirty Five Crore only) divided into 17,50,00,000 (Seventeen Crore and Fifty Lakh) equity shares of Rs.2/- (Rupees Two only) each".***

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9.4 The members of the Second Transferor Company, on approval of the Scheme, shall be deemed to have given their approval u/s 61 of the Companies Act, 2013 and all other applicable provisions of the Actfor sub-division and reclassification of the authorised share capital of the Second Transferor Company and no separate resolutions will be required to be passed for sub-division and reclassificationof the authorised share capital of the Second Transferor Company under section 61 of the Companies Act, 2013 and other applicable provisions of the Act and no separate notice will be required to be given to the Registrar of Companies, for intimation of alterationof the authorised share capital of the Second Transferor Company under section 64 of the Companies Act, 2013 and all other applicable provisions of the Act.

9.5 Upon the sanction of this Scheme by the Tribunal, the authorized share capital of the Transferee Company shall automatically stand increased, without any further act, instrument or deed on the part of the Transferee Company including payment of stamp duty and fees payable to Registrar of Companies, by the authorized share capital of the First Transferor Company amounting to Rs.1,50,00,000/- (Rupees OneCrore and Fifty Lakh only) comprising 75,00,000(Seventy Five Lakh) equity shares of Rs.2/- (Rupees Two only) each and by the authorized share capital of the Second Transferor Company amounting to Rs.35,00,00,000/- (Rupees Thirty FiveCrore only) comprising 17,50,00,000(Seventeen Crore and Fifty Lakh) equity shares of Rs.2/- (Rupees Two only) each.

9.6 For the purpose of sub clause 9.5 above, the stamp duties and fees paid on the authorized share capital of the Transferor Companies by the respective Transferor Company shall be utilized and applied to the increased authorized share capital of the Transferee Company and there would be no requirement for any further payment of stamp duty and/or fee by the Transferee Company for clubbing the authorized share capital of the Transferor Companies to that extent.

9.7 The Memorandum of Association of the Transferee Company (relating to the authorized share capital) shall, without any further act, instrument or deed, be and stand altered, modified and amended, and the consent of the shareholders to the Scheme shall be deemed to be sufficient for the purpose of effecting sub-clause 9.5and no further resolution(s) under Sections 13, 61, 64 of the Companies Act, 2013 and other applicable provisions of the Act would be required to be separately passed.

9.8 Upon the sanction of this Scheme by the Tribunal, Clause V of the Memorandum of Association of the Transferee Company shall, without any further act, instrument or deed, be and stand altered, modified and amended pursuant to Sections 13, 61, 64 of the Companies Act, 2013 and other applicable provisions of the Act, as the case may be, in the manner set out below and be replaced by the following clause:

"The Authorized Share Capital of the Company is Rs.45,50,00,000/- (Rupees Forty FiveCrore and Fifty Lakh only) comprising 22,75,00,000 (Twenty Two Croreand Seventy Five Lakh) equity shares of Rs.2/- (Rupees Two only) each. The Share Capital of the Company (whether original, increased or reduced) may be sub-divided, consolidated or divided into such classes of shares as

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may be allowed under law for the time being in force relating to companies with such privileges or rights as may be attached and to be held upon such terms as may be prescribed by the regulations of the Company".

9.9 Further, if required, the Transferee Company shall take necessary steps to further increase and alter its Authorized Share Capital suitably to enable it to issue and allot the equity shares required to be issued and allotted by it to the shareholders of the Second Transferor Company in terms of this Scheme.

SECTION 2: CONDUCT OF BUSINESS

10. With effect from the Appointed Date up to the date of sanction of this Scheme by the Tribunal:

10.1 The Transferor Companies shall carry on and be deemed to have carried on their respective businesses and activities and shall stand possessed of Amalgamating Undertaking, in trust for the Transferee Company and shall account for the same to the Transferee Company.

10.2 Any income or profit accruing or arising to the Transferor Companiesand all costs, charges, expenses and losses or taxes incurred by the Transferor Companiesshall for all purposes be treated as the income, profits, costs, charges, expenses and losses or taxes, as the case may be, of the Transferee Company and shall be available to the Transferee Company for being disposed off in any manner as it thinks fit.

10.3 All liabilities debts, duties, obligations which arise or accrue on or after the Appointed Date shall be deemed to be the debts, liabilities, duties and obligations of the Transferee Company.

10.4 The Transferor Companiesshall carry on their respective businesses with reasonable diligence and in the same manner as they have been doing hitherto and the Transferor Companiesshall not alter or substantially expand their respective businesses except with the written concurrence of the Transferee Company.

10.5 The Transferee Company shall be entitled, pending the sanction of the Scheme, to apply to the central government and all other agencies, departments and authorities concerned as are necessary under any law for such consents, approvals and sanctions which the Transferee Company may require to own and carry on the businesses of the Transferor Companies.

10.6 It is clarified that the approval of the members of the Transferee Company to the Scheme shall be deemed to be their consent / approval also to the ancillary and incidental alterations, if any, to be carried out to the Memorandum of Association of the Company as may be required under the Act and there would be no further requirement of obtaining the members approval for such alterations arising pursuant to the sanctioned Scheme.

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SECTION 3: CONSIDERATION

11. **The Provisions of this section shall operate notwithstanding anything to the contrary in any other instrument, deed or writing.**

11.1 In view of the fact that the First Transferor Company is wholly owned subsidiary of Transferee Company, upon sanction of the Scheme by the Tribunal, no shares will be issued / allotted under the Scheme by the Transferee Company to any person.

11.2 Further, upon the sanction of the Scheme by the Tribunal, all the equity shares and CRPS of the Second Transferor Company held by Transferee Company, shall stand cancelled and the investments of Transferee Company, as appearing on the Asset side of the Balance Sheet of Transferee Company, shall stand cancelled to the extent of book value of the equity shares and CRPS of the Second Transferor Company.

11.3 On completion of the scheme, all equity shares and CRPS of the Transferor Companies held by Transferee Company shall stand cancelled and the share certificatesrelating to such equity shares and CRPS held by Transferee Company shall be destroyed.

11.4 The Audit Committee and the Merger Committee of the Transferee Company have taken into account the recommendations on the valuation report relating to determination of share exchange ratio given by M/s. NSVR & Associates, Chartered Accountants, acting as independent chartered accountants, and the fairness opinion provided by M/s. Mark Corporate Advisors Private Limited, acting as the merchant banker. On the basis of their evaluation and its own independent judgment, the Audit Committee and the Merger Committee have recommended the Scheme, and further conveyed that no shares may be issued by the Transferee Company to the members of the Second Transferor Company.

11.5 Accordingly,upon the sanction of the Scheme by the Tribunal, the Transferee Company shall not issue or allot any Equity Share(s) to the members of the Second Transferor Company.

11.6 The Board of Directors of the Transferee Company has taken into account the independent recommendations of the Audit Committee and the Merger Committee.

11.7 The Board of Directors of the Transferee Company and the Transferor Companies have taken into account the recommendations of the Share Exchange Ratio given by M/s. NSVR & Associates, Chartered Accountants.

11.8 The Board of Directors of the Transferee Company has also taken into account the fairness opinion provided by M/s. Mark Corporate Advisors Private Limited in relation to the Share Exchange Ratio.

11.9 The Board of Directors of the Transferee Company and the Transferor Companies based on the aforesaid advices / opinions and on the basis of their independent judgment and evaluation has

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come to the conclusion that the Transferee Company will not allot any shares to the Shareholders of the Second Transferor Company and have approved the Valuation Report at their respective meetings held on 06.02.2017.

11.10 Upon the sanction of the Scheme by the Tribunal, the shareholders of the Second Transferor Company shall surrender their share certificates pertaining to the SecondTransferor Company for cancellation thereof to the Transferee Company. Further, notwithstanding anything to the contrary, upon the Scheme being sanctioned by the Tribunal, the share certificates in relation to the shares held by shareholders in the SecondTransferor Company shall be deemed to have been cancelled and shall be of no effect on and from the Record Date.

SECTION 4: ACCOUNTING TREATMENT

12. Accounting Treatment in the Books of the Transferee Company:

12.1 Upon the sanction of the Scheme by the Tribunal, the Transferee Company shall record the assets and liabilities of the Transferor Companies transferred to the Transferee Company pursuant to this Scheme and account for the amalgamation of the Transferor Companiespursuant to this Scheme in accordance with Accounting Standard -14 as notified by the Companies (Accounting Standards) Rules, 2006, as amended from time to time.

12.2 Inter-corporate deposits/loans and advances, if any, outstanding between the Transferee Company and any of the Transferor Companiesinter-se shall stand cancelled and there shall be no further obligation / outstanding in that behalf. Any difference arising on such cancellation should be adjusted in the reserves of the Transferee Company.

12.3 In case of any differences in accounting policy between the Transferor Companiesand Transferee Company, the accounting policies followed by Transferee Company will prevail and the difference till the Appointed Date will be quantified and adjusted against Profit and Loss Account, to ensure that the financial statements of Transferee Company reflect the financial position on the basis of consistent accounting policy.

12.4 Notwithstanding the above, the Transferee Company in consultation with its Auditors, is authorized to account for any of this balances in any manner, whatsoever if considered appropriate.

13. Dissolution of the Transferor Companies

On the Scheme coming into effect, the Transferor Companies(i.e. BCL and BGPL) shall, without any further act or deed,stand dissolved without going through the process of winding up.

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PART - C
GENERAL TERMS AND CONDITIONS

14. Impact of the Scheme on creditors

This Scheme of Amalgamation, if approved by the appropriate authorities and the Tribunal, shall not have any adverse impact on the Creditors whether secured or unsecured, of Transferee Company and / or any of the Transferor Companies.

15. Dividends

15.1 Nothing contained in this Scheme shall be construed as restricting or restraining any of the Companies from being entitled to declare and pay dividends, whether interim or final, to their respective equity shareholders, whether during the pendency of the Scheme or otherwise.

15.2 The holders of the Equity Shares of respective Companies shall, save as expressly provided otherwise in this Scheme, continue to enjoy their existing rights under the Articles of Association of the respective Companies concerned including the right to receive dividends.

15.3 It is clarified that the aforesaid provisions in respect of declaration of dividends are enabling provisions only and shall not be deemed to confer any right on any member of any Company to demand or claim any dividends which, subject to the provisions of the said Act, shall be entirely at the discretion of the Boards of Directors of the respective Companies and subject to the approval of the shareholders of the respective Companies.

16. Filing of applications / petitions with the Tribunal

The Transferee Company and each of the Transferor Companies, with all reasonable diligence, make and file all necessary applications, affidavits, petitions etc., before the Hon'ble National Company Law Tribunal/ before any other competent authority having jurisdiction over the Scheme, as the case may be, for obtaining the sanction to this Scheme of Amalgamation under Sections 230 to 232 of the Companies Act, 2013 and each of them shall apply for all necessary approvals as may be required under law.

17. Modifications to the Scheme

17.1 The Transferee Company and Transferor Companiesby their respective Board of Directors or any Committee thereof or any Director authorized in that behalf (hereinafter referred to as the "Delegate") may assent to, or make, from time to time, any modifications or amendments or additions to this Scheme which the Tribunal or any appropriate authority (ies) under law may deem fit to approve or impose and which Transferee Company and Transferor Companiesmay in their discretion accept or such modifications or amendments oradditions as Transferee Company and Transferor Companiesor as the case may be, their respective Delegate may deem fit, or required for the purpose of resolving any doubts or difficulties that may arise for carrying out this Scheme, and Transferee Company and Transferor Companiesby their respective Boards of

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Directors or Delegate are hereby authorized to do, perform and execute all acts, deeds, matters and things necessary for bringing this Scheme into effect, or review the position relating to the satisfaction of the conditions of this Scheme and if necessary, waive any of such conditions (to the extent permissible under law) for bringing this Scheme into effect. In the event that any conditions may be imposed by the Tribunal or any authorities, which Transferee Company and Transferor Companiesfind unacceptable for any reason, then Transferee Company and Transferor Companiesshall be at liberty to withdraw the Scheme. The aforesaid powers of Transferee Company and Transferor Companiesmay be exercised by their respective Delegates.

17.2 For the purpose of giving effect to this Scheme or to any modifications or amendments thereof or additions thereto, the Delegates (acting jointly) of Transferee Company and Transferor Companiesmay give such directions as they may consider necessary to settle any question or difficulty arising under this Scheme or in regard to and of the meaning or interpretation of this Scheme or implementation thereof or in any matter whatsoever connected therewith (including any question or difficulty arising in connection with any deceased or insolvent shareholders, depositors of the respective Companies), or to review the position relating to the satisfaction of various conditions of this Scheme and if necessary, to waive any of those conditions (to the extent permissible under law).

18. Scheme Conditional Upon

18.1 This Scheme is conditional upon and subject to:

(i) In-principle approval / Observation Letter from the Stock Exchanges being obtained.

(ii) The Scheme being approved by a shareholder's resolution of Transferee Company passed by way of postal ballot and e-voting, provided that the Scheme shall be acted upon only if the votes cast by the public shareholders in favour of the proposal are more than the number of votes cast by the public shareholders against it.

(iii) It being agreed to by the respective requisite majorities of members of Transferee Company and Transferor Companiesas required under the Act and the requisite orders of the Tribunal being obtained.

(iv) It being agreed to by the respective requisite majorities of creditors and the various classes of creditors (wherever applicable) of the Transferee Company and Transferor Companiesas required under the Act and the requisite orders of the Tribunal being obtained.

(v) The requisite sanctions and approvals, as may be required by law in respect of this Scheme being obtained; and

18.2 In the event of this Scheme failing to take effect before 31st day of March, 2019, or such later date as may be agreed by the respective Boards of Directors of Transferee Company and Transferor

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Companies, this Scheme shall stand revoked, cancelled and be of no effect and become null and void and in that event no rights and liabilities whatsoever shall accrue to or be incurred inter-se by the Companies or their shareholders or creditors or employees or any other person. In such case, both the Companies shall bear its own costs, charges and expenses or shall bear costs, charges and expenses as may be mutually agreed.

19. Effect of non-receipt of approvals

In the event of any of the said sanctions and approvals referred to in clause 18above not being obtained (unless otherwise decided by the Board of Directors) and / or the Scheme not being sanctioned by the Tribunal or such other competent authority as aforesaid, this Scheme shall stand revoked, cancelled and be of no effect, save and except in respect of any act or deed done prior thereto as is contemplated hereunder or as to any rights and / or liabilities which might have arisen or accrued pursuant thereto and which shall be governed and be preserved or worked out as is specifically provided in the Scheme or as may otherwise arise in law.

20. Severability

If any part of this Scheme is found to be unworkable for any reason whatsoever, the same shall subject to the decision of Transferee Company and Transferor Companies, not affect the validity or implementation of the other parts and / or provisions of this Scheme.

21. Costs, charges, etc.

All costs, charges, levies and expenses (including stamp duty) in relation to or in connection with or incidental to this Scheme or the implementation thereof shall be borne and paid byTransferee Company.

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SCHEDULE I

FIRST PART

SHORT DESCRIPTION OF THE FREEHOLD PROPERTY OF THE FIRST TRANSFEROR COMPANY

Details of the Immovable Properties of Bhagyanagar Chemicals Limited (First Transferor Company) being transferred toBalajiAmines Limited (Transferee Company) pursuant to the Scheme of Amalgamation.

All those parts and parcels of land detailed and described herein below:

Sl.No.	Address	Sy. No.	Area in Acer	Total Area	Document No.	Document Date
1.	Plot No. 4 beside A.P Transco substation -II IDA Bollaram, JinnaramMandal, Sangareddydist Pin No. 502325	172/E/F Plot No.4	1.90 Acer	1.90 Acer	1007	04.04.1989
2.	Plot No. 5 beside A.P Transco substation -II IDABollaram, JinnaramMandal, Sangareddydist Pin No. 502325	172/E/F Plot No.5	2.30 Acer	2.30 Acer	771	17.03.1989
TOTAL AREA: 4.20 Acre						

SHORT DESCRIPTION OF THE FREEHOLD PROPERTY OF THE SECOND TRANSFEROR COMPANY

Details of the Immovable Properties of Balaji Greentech Products Limited (Second Transferor Company) being transferred to Balaji Amines Limited(Transferee Company) pursuant to the Scheme of Amalgamation.

All those parts and parcels of land detailed and described herein below:

Sl.No.	Address	Sy. No.	Area in Acer	Total Area	Document No.	Document Date
1.	Nandi Kandi Village, SadasivpetMandal, MedakDist	470 and 644	09.04 Gts 02.32 Gts	11.90 Acer	783 / 1993 895 /1993	04.06.1993 24.06.1993
2.	Nandi Kandi Village, SadasivpetMandal, MedakDist	647, 649 (B), 649 (A), 652, 651, 650 and 648	00.07 Gts 00.04 Gts 00.05 Gts 00.05 Gts 00.20 Gts 00.13 Gts 00.05 Gts	1.475 Acer	809 /1992 898 / 1992 811 /1992 772 / 1992 873 / 1992 810 / 1992 944 / 1992	23.05.1992 03.06.1992 23.05.1992 20.05.1992 30.05.1992 23.05.1992 08.06.1992
TOTAL AREA: 13.375 Acres						

BALAJI AMINES LTD.